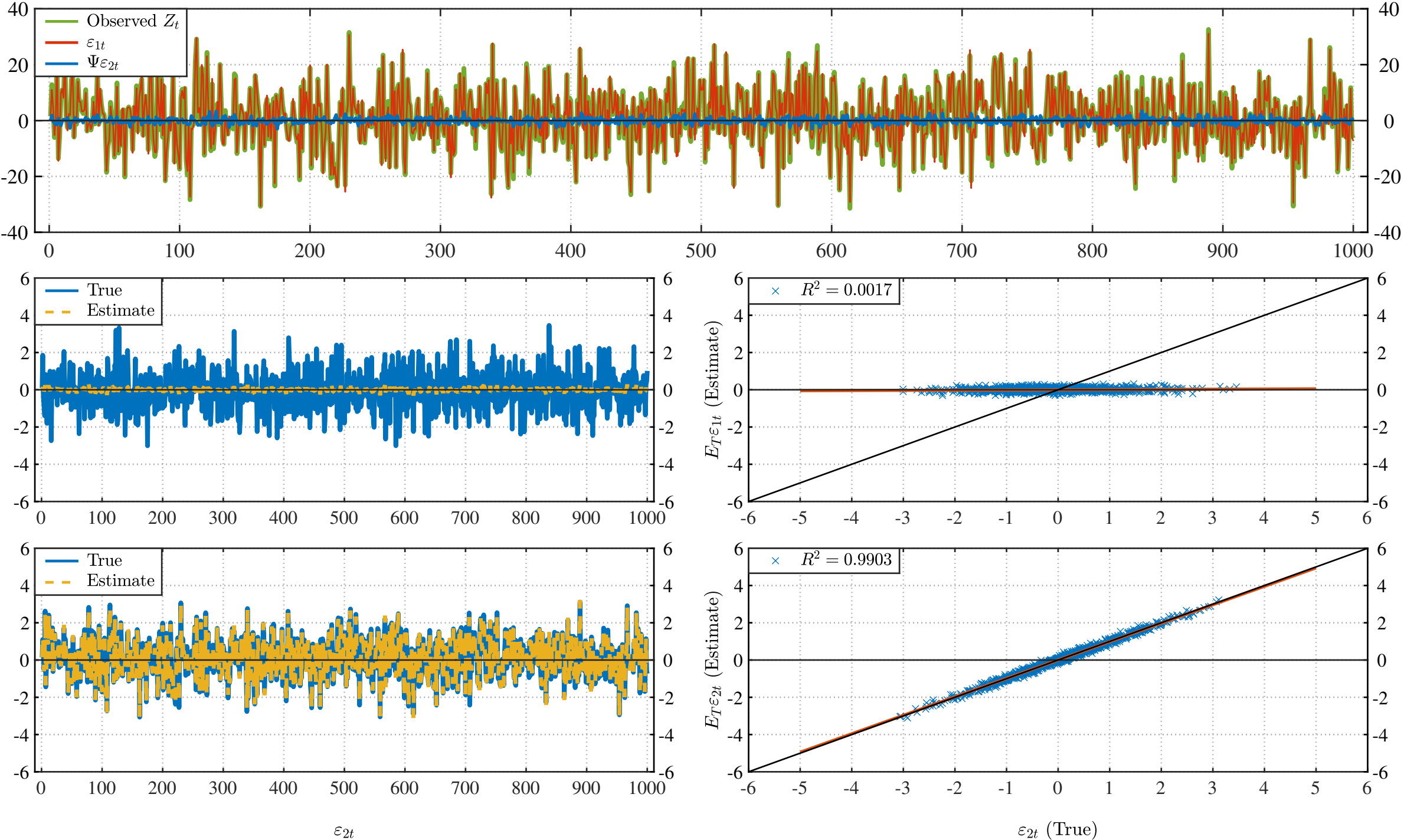

Observed Z_t
ε_{1t}
$\Psi\varepsilon_{2t}$
True
Estimate
$R^2 = 0.0017$
$E_T\varepsilon_{1t}$ (Estimate)
True
Estimate
$R^2 = 0.9903$
$E_T\varepsilon_{2t}$ (Estimate)
ε_{2t}
ε_{2t} (True)